On Sizing Options, The Fed and The JPY

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The current market environment is defined by a post-bubble consolidation phase where aggressive retail themes (AI, crypto) have failed, replaced by a robust rally in value and equal-weight stocks driven by monetary stimulus and fiscal deficits. Central banks are globally "behind the curve," creating a soft landing scenario where nominal economic growth matters more than frequent rate-hike speculation. Institutional traders should prioritize linear strategies over complex options during this volatility regime to mitigate realized vs. implied vol mismatches, while avoiding momentum bets until positions fully reset (3-6 months post-burst).

2. Key Arguments & Data

3. **Citadel & Leverage Unwind:** Citadel managed a massive "situational awareness" leveraged position similar to past Enron/Amaranth models. The unwind created a momentary "vol-of-vol" crash, which was stabilized by Citadel buying distressed assets, returning the market from 2018-style panic to a 2019-like baseline.
4. **Equity Beta Proxy:** S&P 500 and NASDAQ are flawed equity beta proxies due to momentum/AI factor bias; they function as high-beta growth indices rather than broad market representatives.
5. **Value & Bank Rally:** Equal Weight SP 500 is trading at all-time highs without drawdowns. European banks specifically are up ~22.5% YTD, driven by monetary stimulus and global deficits (Germany runs a 2.5-3% primary deficit).
6. **Central Banks Behind the Curve:** Core inflation has persisted for years (63-64%), and central banks have not hiked aggressively enough to match fundamentals despite high rates in the cash curve. The Fed is behind the curve on both rate cycles and inflation data.
7. **Silver/Gold Bubble Framework:** Silver and Gold reached parabolic highs (~120), experienced massive deleveraging (dropped to ~60), and are now entering a 3-6 month consolidation phase where volatility is low and positioning is clean.

8. **Options vs. Linear Trading:** Options suffer from probability-adjusted risk mismatches; investors often over-size due to belief that low-delta strikes offer high returns. Linear trades (delta one) simplify risk budgets when holding periods are short.
9. **Realized Volatility:** Options realized volatility is vastly different from implied volatility; near-expiry options face binary outcomes where position size and payoff can vanish instantly.
10. **Fed Signaling vs. Data:** Frequent rate change speculation (25bps tweaks) is irrelevant noise; the market reacts to 30-year yield volatility. Nominal GDP growth (currently ~6%) and lack of economic volatility (low unemployment/claims) are stronger drivers than Fed narrative shifts.

11. **Bond Market Dynamics:** The US bond market receives disproportionate credit due to long-end curve treatment compared to other countries; a steeper curve implies more term premium required given fundamental debt levels.

12. Actionable Takeaways

13. **Focus on Value/Equal Weight:** Trade the "boring factor" (equal weight S&P 500, value stocks, banks) rather than chasing narrative-driven bubbles or high-beta tech sectors.
14. **Avoid Momentum Bets:** Post-burst markets enter periods of low interest ("nowhere"); wait for positioning to clean up completely before re-entering bull/bear positions on assets like gold/silver.
15. **Linear Strategies Over Options:** Simplify your trading strategy to delta-one (linear) trades during consolidation periods to avoid the complexities of managing implied vol, time decay, and probability-adjusted risk budgets inherent in options.
16. **Ignore Short-Term Fed Tweaks:** De-prioritize discussions on 25bps rate hikes/cuts; instead focus on nominal growth data and fiscal impulse deficits. If data remains benign, expect no significant policy changes until late 2024.
17. **Risk Management:** Use equal volatility contribution across trades rather than sizing based on historical win rates alone. Monitor realized

volatility for options, as it may collapse significantly faster than implied vol post-bubble.

Full Transcript

The macro trading floor with me Alfonso Peccatillo, founder of the macro compass and former head of investments at the large European bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the art of currency trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Hi everyone welcome back to the macro trading floor Alf and Brent with you as every week now Brent was telling me before going live that last week looked like 2008 situational awareness blowing up dollar yen going ballistic and this week is like 2019 or something we're basically going back to sleep but you know, maybe it's kangriff and we have to say thanks to a he bailed out the leverage seller and the party is over at least vol-wise, Brent. What do you think? What happened? What do you make of all that saga? It is amazing the vol-of-vol that we've experienced is kind of mind-numbing. I mean, I know that the situational awareness thing has been covered a lot, so I don't want to go too long on it. But I mean, concentration and leverage and leveraged beta, you know, we've seen it many times before. We saw it with ARC.

we saw with Bill Wong, and we've seen it many other times in the 90s as well. You pick a theme, you go massively levered on that theme, you make a lot of money, and then you give it all back. And I mean, of course, he's still up on the year, but I don't know. I mean, from a trading and risk management point of view, obviously it's a disaster. Sure, you can definitely find the silver lining, which is he still made money for his investors, or at least for the early investors. But I mean, in the end, when you do that strategy, you're just setting yourself up for the inevitable and the inevitable finally happened. And then once again, I guess Citadel's the new Warren Buffett coming in and buying distressed assets at a discount and then watching the NASDAQ go up a thousand points a day after that. Yeah. I mean, You've got to hand it over to Ken. This is not his first rodeo. I would say doing this, right? I mean, he did it with Enron famously. He did it with

Amaranth, the natural gas hedge fund is now doing it with situational awareness. I think I saw yesterday that Citadel was up five or six percent in July, mostly due to this operation, which is crazy. But let's talk about what it does to the market right now, Brian, because we had a massive momentum unwind. Bleeding has been stopped.

What I see out there is that a lot of people still look at equity beta using the lens of the S&P 500 or the NASDAQ to a certain extent. And frankly, I would disagree with using that as an equity beta proxy because it has become a full momentum factor, AI factor driven stock market, right? So I love to look at things such as the equal weight S&P 500. So it's the median stock in the S&P and that is been trading extremely solid brand. Like you look at that, there has been never a sign of any real drawdown or anything. It's actually making all time highs pretty much week in and week out. The European stock market is trading super solid value stocks in general banks all over the world are zooming. And so I think under the hood of this AI mania stock market is extremely resilient. And that remains to me a combination of monetary policy being still way behind the curve.

Most central banks have had core inflation for how long? I think you're counting the Fed months as it's like what five years and counting I think about I think we're at 63 or 64 now. Yeah So that's the the situation right and Work can say whatever he wants and he does say whatever he wants He says a lot of things meaning pretty much nothing most of the times But the Fed hasn't hiked for the last two meetings neither And now we're speculating when the whether the Bank of Japan will hike in exchange for besant for best and doing what for basically reshuffling the ESF composition of yen and euro pretty much that's what he did literally he has 20 billion of cash in the ESF that are not dollar so euro and yen and he had i think 14 billion of euros and 6 billion of yen dollar equivalent and he basically reshuffled them back to some sort of like equal weight composition that's all that best and did so far by the way okay and in exchange now the bioj supposedly hiking as if it's an emerging market central bank at every meeting i mean sorry. In the meantime, the Bayer J is still behind the curve, the Fed is behind the curve, many other banks are. And yeah, just as a reminder, we are in a world where Germany does a primary deficit of two and a half to 3% of GDP. I have to say the couple of

times, Germany does a primary deficit of two and a half to 3% of GDP. So print money, central bank beyond the curve, stonks go up. And I don't know what really stops the stonks.

Yeah, AI, okay. But AI is a different gaming doubt, to be honest, I think, than the median stonks market brand. What do you say? Oh, man, there's so many things that you said. I got to keep everything straight. But first of all, on stocks, it is kind of amazing how hard it is to be bearish. I mean, you have, like you said, a diverse central banks, a lot of deficits, earnings are going absolutely vertical on most of the charts. The interesting thing to me, a really interesting thing about this equity rally is that retail is not participating. So throughout the post COVID era, the buy the dip and just the buy the all the time mentality of retail was very strong. And the way that that manifested a lot was obviously mostly retail is not buying equal weight S&P. They're buying.

whatever the latest narrative is. So whether it was Bitcoin or outer space stocks or quantum computing, I could probably list about 10 of those little bubbleettes that we've had. And interestingly though, in the last dip and in the last really like four or five months, retail has not done anything. The retail participation has been zero. And I find that interesting in that. If you outline the outlook for stocks with earnings, but also monetary stimulus and fiscal stimulus, you would think that animal spirits would be running really high, that other risky assets, certainly crypto, you would think would be doing well. And then Silver and Gold had their retail bubble, and they've been doing OK this week, which we could talk about. But generally, they haven't been doing that great either. So what you should have is a return to the debasement trade.

But what I'm wondering is people have just lost so much money chasing all these little bubble hats, including gold and silver that people now are very hesitant. Generally, I feel like if something goes parabolic, then it pops. It takes a few years for people to come back to it because they just, the memory of touching the hot stove is too, too recent. So it is interesting to me to see the composition, like you said, it's really like the boring equal weight. you know, indexy kind of people that are doing the best and everyone that chased all the fads like space and all that have obviously got

crushed and taken their ball and gone home. But do you think that animal spirits will come back or is this simply a re-rating because earnings are good and policy is loose? And it's a re-rating, it's not as much of a, you know, a buying frenzy. Do you know what I mean? Yeah, I know what you mean.

And I was actually, as you were talking, opening my Bloomberg to check out something which is the total return year to date of European banks. There you go. So European banks are up 22.5% year to date brand. So I think that animal spirits are here with us right now. They don't need to come back. They're already here, but the animal spirits are in value stocks in Japanese banks in European banks in that's where the animal spirits are and I know it's very unsexy to say that but It is what it is Right you almost need to create like the boring factor and then you know get along the boring factor because that's really what's happening all the fun stuff is dead and all the boring stuff is rallying and then actually let's talk about that for a second because I want to Tell you what my framework is for these things these bublets as you call them that blow up And I want to hear what your framework is for those. So if we take as an example silver, which I think is a great example. I mean, this thing earlier in the year went ballistic, right? You remember went at like 120 at some point. And it was only one game in town. It was silver and gold. They were going ballistic upside. And then it burst, right? You have a big drawdown and silver goes straight back to like, I think 60, something like that, maybe below 60.

But if I look at the realized ball of silver for the last two to three months it has been very very low so the bubble went on the way up people got burned it D leveraged it went back to 60 and it has basically treated between 55 and 70 for the last three months and All the positions are gone if I want if I try to talk to allocators or other colleagues in industry Nobody gives crap anymore about gold and silver basically and then guess what happens at the first sign of, oh, Ormuz is reopening again. Oh, actually, the Fed isn't hiking. Yes, they gold rallied 4%. So then, generally speaking, the framework applied to this Bob Letts brand is that momentum goes up a lot, then momentum deleverages and people get crushed. And then as you say, they basically stay away from the trade for at least a few months, because

it's not interesting anymore. And then you first trade both the bulls and the bears.

because on the way down you will also have excited bears, by the way, let's not forget. It will frustrate them both. People will pay massive amounts for out-of-the-money costs and out-of-the-money puts. The realized vault will be half the implied vault they pay, so they will bleed out of a TETA bill that doesn't stop. And then at some point they'll give up, and the positioning will be clean. And then we might restart a much more orderly trend again, much later, generally three to six months later. And I think that might be the case with precious metals. So that's something that I'm very interested in right now. But for momentum, if I am right on this framework brand, it means that for the next few months, we might just go nowhere, literally nowhere. So do you have a different framework for these bublets or do you like agree or disagree with what I just said? No, I mean, I view it the same way that essentially the bursting of the bubble is always extremely bearish ball.

And actually some of this is in trade outside the box because in there, I talk about specifically about trading Wall Street bets run-ups like Krispy Kreme and things like that. And it's the same thing, right? I mean, that's why Silver and Gold went crazy. If you looked at the most active stocks on Wall Street bets in that period, it was GLD and SLV for a good three months. And essentially the strategy that Wall Street bets employs you know, as a hive, as a hive mind, obviously not in, not, it's, it's not coordinated, but this is what happens through, you know, human nature and the way that Wall Street bets works is everyone buys calls on a thing and it creates a gamma squeeze and then that thing spikes and market makers are forced to buy. But then on the way down, obviously the market makers are forced to sell and the strategy generally for that is selling call spreads because I never sell naked just because that's just not what I do. But by selling call spreads, very often you can sell something and get OK leveraged surprisingly. Sometimes you can risk 40 to make 60 selling a call spread when implied ball is 200 or whatever on these things. And as soon as the thing bursts, obviously ball collapses and then the thing goes nowhere and then you just collect the theta every day.

And so I think that really is the pattern. The interesting thing though is that something like Krispy Kreme donuts or whatever or Dogecoin or whatever, all those things generally never come back, right? They bubble and they burst and then that's it. But gold and silver have been around for 5,000 years. So those things are not going away. The only question is how to trade it. And I would agree with you, I think. So if you were, I was bullish gold a couple of times. Like we were talking about it on the podcast, especially because of the option skew and gold options went bid for puts. But the thing is I just couldn't hold on. Like I was bullish in June and once in early July, but gold just sat there for so long at around 4,000. And actually it rallied a couple of times too and failed. So I gave up on it, but.

The the way to trade it I think now like that it's burst and anything that if you're bullish something after it bursts like cost be would be another example now. Is just delta one and not doing options because I feel like like exactly what you said it necessitates a very long consolidation before anyone will have faith again. And so you really don't want to be buying options all the time if anything if you're bullish you could sell put spreads. potentially, but implied vol usually has collapsed after a bit. So if you don't do it right away, then forget about it. It's just a delta one trade. You just buy gold with your stop at X and or buy silver with your stop at X or at Y, I guess. And that's it. Here, here, stop buying options all the time. So, you know, it's an addiction. Yeah, for sure. At my macro fund, we run a study of trying to Compare if you have an idea should you buy an option or should you buy a delta one trade? Basically as a macro manager all the time you have ideas, but now you should you implement it and then it gets pretty funky into math because options have a bunch of like Dimensions that the linear straight doesn't have it starts to get crazy like you have to get direction right then you have to be right in a certain amount of time Then you also have to be right with implied ball being above your realized ball. Otherwise during the path of the PNL of your option You will get a ball drug, right? So you won't be able to monetize it appropriately. It's ridiculous. And then the funniest part of all of this is this. Basically, the analysis said, if you have a specific view on a specific payoff profile or a specific part of the distribution of returns of that asset, then you can only capture that through an option. If you really want that dimension, if you

really want that time dimension, that payoff dimension, those strikes, you can only capture that with an option.

how often do you really want that most of the time you just want to have the delta on you just want that position on you don't need an option for that right you can simplify your life a lot through a linear expression but then comes the hardest part of it all which is let's assume you really fail for the mania and you wanted to buy an option once again to buy an option and make your life so complex how much should you buy and that is a crazy question to ask because Like in my fund, we do equal vol contribution. So each trade has to contribute the same amount of vol to the portfolio. I'm not Drachenmiller, right? So I have no idea which trade will be the best or not. I just, you know, equal vol size them all and let the PNL show me which trade is the best or not. And then for for Delta one trades, you can engineer how much risk you should put given the ball you want to run, but try the same with options now.

and try to equalize how much should you spend an option. If you generally want to lose 1% of your risk budget, for example, just making an example brand on a linear trade that is generally held for a month, just again, making an example. How much should you spend instead for a one month option? Just I'm throwing a huge curveball at you right now, but I just want to understand like, how do you think about this problem? Well, and that's one of the biggest problems too is that if you take it to the extreme and say, okay, I'm going to do a one year option, then you know, risking 1% of your capital on a one-year trade, obviously a stupid or pointless most of the time. So generally... Why? Tell me why? Tell me why? Well, just because the impact on your P&L, I mean, I guess it depends on your trading style. But I'm saying for me, the impact of that one trade on my P&L would be so small that it wouldn't, that could be because I'm doing like, if 1% was my risk allocation, which is not, but if it was, I'd probably be doing like...

15 to 20 trades per quarter risking that same amount. So that one one year trade just wouldn't move the needle. So I'm not very sophisticated about it because I tend to my average trade holding period is 10 days. So I'm able to just kind of look past that problem and say like, if you're risking 300 grand on every trade. and you're doing some options and some linear and your

average holding period is 10 days, then the problem goes away, fortunately for me. But one thing that I ran into actually, and maybe we can talk about this too, because it's related, is, and it's kind of similar, is the way that your dynamics change with options as well, that obviously your position size changes massively. So even if you picked the right position size, your position size can change.

and your risk reward can change. So let's say you buy a put spread on a thing and you're risking 100 to make 300, let's say, or you're risking 100 to make 400. So the thing goes, collapses right through the bottom of your put spread. And now you, so now you're, you've made 300 and you have 100 more to make. And so obviously your risk reward is much worse. A lot of people get tempted to cover in that situation, but what I find is if you do that, then you're always giving up the last 100 pips of your trade, which means your ad inception risk reward was much, much worse than you thought. However, you're also then sometimes sitting in trades where now you're risking 300 to make 100. But to me, everything that I'm thinking at inception, I try to stick to it as much as possible and not.

start overthinking every pip and every move. And then because that's how you get leverage, right? Like, and we've talked about this before, but sometimes if you buy like a 10 delta option and it becomes a 65 delta option, you have an absolutely massive position in your book relative to everything else. So do you hold on and go for the last 35? I feel like obviously it's a bit dependent on the situation and your view at that point. and also your year-to-date P&L and things like that. But I do find riding that last 35% off into the sunset is when I'm trading well, I'm doing that more often than I'm, oh, I'm up too much. I got to reduce. I got to reduce and always trying to get back to benchmark waiting. But maybe that's wrong. There's an easy expected value argument that you can always make, and that's how you should be doing it. But you also can't.

rebalance your book every five minutes and constantly be rebalancing because you'll just go crazy and you start over waiting the noise and ignoring the signal. And the strongest signal was, here's what I thought at inception. And I feel like after that, you start to get a lot of a lot more bias once you put the trade on. So the first thing I noticed running the study

internal is that we, I think all have a bias to buy way too much size in options. And I mean, way too much size. And that is because of two things. First, the probability of an option. People just buy 10 deltas, 20 deltas, as if it's easy to get to make money on those guys. They're 10 and 20 deltas for a reason. You're not going to make money on those. That's your standard point of your starting point. Okay. So then they buy quite some size of that. And then this causes you comes with two issues. First, probability adjusted, your risk budget that you risk on that trade is way too big. Because if you write 50% of the times, you might on average say my linear trade is a 50 delta trade roughly right I mean I'm gonna be right about 50% of the times when you buy a 10 delta option you should risk way less than what you do on a 50 delta just because probabilistically you're not gonna be right that often then it also causes the second problem which is when you buy too much size when you are right that also causes you with a problem because your delta when it explodes it's just too big And then you don't know what to do with it, right? Should I hedge it? Should I get out? Should I leave that? Which is basically what you were saying before, right? And so in our analysis, the best thing to do was actually to size options in a more appropriate way from the beginning. This somehow eliminates a bit. Basically, the realized ball of the PNL of an option is vastly different than the realized ball of a linear trade. Just right. That's the perfect way to say it is that the, yeah, and the realized the ball of ball.

The realized ball of all it can be absolutely insane as you get close to expiry. So like, especially with exotics, sometimes do you want to talk? Do you want to talk about gamma then? Because that is also like, like sometimes you bought some digital, whatever it expires on the 15th of August, just making an example. And then you traded the Euro dollar and your expires is one 16. You know, it's a digital. So it has to close above one 16 for you to make money. And two days before expiry, it's 1589. And then you're like, so my option is either worth a lot of money or it's worth nothing. Your PNL is sitting somewhere in the middle and then you can lose. A million dollar coin flip. I've had a whole bunch of those before and they're absolutely stupid. And usually the person that has it doesn't want it and the person that's on the other side doesn't want it.

But nobody wants to, nobody wants to cross the spread. So you find my experience, you find banks reaching out back to you and say, okay, dude, like, you don't want it, I don't want it. Should we find a price where we can both get out of this thing? So it's, you know, it's very fancy to talk about optionality and buying options and all of that. And they are very useful in certain circumstances. But my experience says, unless it's circumstance, you can quantify it. Which type of payoff do you want? Oh, you're trading dollar Japan now. Okay, then I'm pretty sure it's not going to be above the prior all-time highs. Okay, then maybe you want to belong with a digital at 162 and a knockout at 165. Okay, I understand in that case, right? But I want to be long gold. I'm going to buy some gold, you know, out of the money call spread. Dude, just buy gold.

In most cases, it's probably the easiest way to go about this. Sorry, I cannibalize the episode to talk about options, but I think it's, it's a very complicated topic as well to figure out. A lot of people have biases. And in my opinion, they size too much and they buy too many of these options. All right. Let's take a left turn. What about the Fed? Cause I think, I think the Fed has become interesting. I kind of going in and we were talking about on the podcast ages ago. And this is another behavioral thing, but I don't think we have time to get into it too much. But my view has been that worst is just the same and they just say all the stuff that they're supposed to say, but really they are not willing to take any kind of courageous action to get to the inflation target because they know that the final mile getting from 2.7 to 2 requires a lot of tightening and it's tightening that they're not willing to do.

The thing is though, I kind of got tricked into believing them a little bit into the FOMC, and then obviously he didn't deliver. He couldn't get the votes or whatever. But I think the crazy thing was that because of the situational awareness selling, it looked like the market was having a freak out. Like, oh, the Fed is too dovish. That's bearish bonds. That's bearish stocks. But in hindsight, what it looks like is that the selling kind of created the narrative that it's somehow a dovish fed is bad for stocks. And the second that that selling stopped and Citadel intervened, you know, then the market did the sort of rational response to a dovish fed, which is explode to the top side. Do you think that's what happened? Or do you think it was genuine that

people actually thought, oh, he's not fighting inflation, so we better sell duration and then stocks are linked to duration. So then we'll sell stocks.

Because the reaction was pretty weird. Yeah, the stock market reaction was a bit weird. If the Federal Reserve is behind the curve and they're not hiking, you should buy more stocks at the end of the day, right? Because financial conditions are even looser than you thought. So why are you selling stocks? I think it all comes down to the ball of the long end. Like you can really run a little analysis. And if you see that 30 year yields are moving more than X standard deviations in a day or on a five day horizon, it's that vol of the long end that causes some trouble to stock markets I would say so that was probably the issue I mean 30 year moved by quite a bit in a few days and I think that ball caused a bit of disturbance but we're back at it again I mean the way I see this is this I run a study which is I'm trying to quantify how crazy things are becoming which is a very hard thing to do and I came up with this thing which is called monetary and fiscal credibility index.

So just basically look at how much deficit are you running, how much behind the curve you are as a central bank. And then I create a unit of that monetary and fiscal situation basically in your country. And I scattered that against the curve slope. So the steeper the curve is, the more term premium investors are requiring to buy your long end bonds, it should somehow correlate with your craziness or lack of craziness as a country, right? And it does pretty well if you take out the US out of it. So you can put all the countries you want in there, UK, Japan, Canada, Europe. They will scatterplot very nicely. The R-square will be 0.8. So it will be pretty good. But the US completely fucks up everything in there. So the US is given a large amount of credit by the market in the long end. And now they treat the long end of the US market. The curve should be much, much steeper given the fundamentals. So Brent, I think if you are the Fed chair and you tell everyone you're so hawkish and then you don't hike for two times in a row.

and you might disappoint a few people here and there. So they might want to push this premium away a tiny bit from the long end. At the end of the day, it's going to be about data. That's what I think. So if the labor market continues to be relatively calm and core inflation comes back to annualize

3%. Yes, 3% is the new target, apparently. So if core inflation comes back to 3%, then I think there is no reason why you should freak out about the long end. Also because to freak out about the long end, you pay Kerry. in order to freak out. Let's not forget to sell third year bonds at what are they like 5.2% against your front end cash rate at three and a half. Yeah, sorry, but you're paying negative carry to do that. So you need to have a reason for it. And the reason in my opinion will be data if anything. And there is no in my models, there is no major inflation and impulse coming for the US. I mean, that's been one of the most interesting or crazy parts of this post COVID world has been really the lack of economic volatility in the last few years. I guess it's a little bit similar to like 2017, 2018, 2019, but we've just been in this soft landing. And I mean, think of all the policy shocks, immigration crackdown, tariffs, you know, Middle East, another Middle Eastern war. And yet the economic volatility has been incredibly low, like unemployment's been 4243 initial claims. I mean, I don't even Pay attention when it comes out, it just pops up. That used to be a thing that you would actually watch as it came out, but it pops up and it's either 192 or 206 every single week for years. And I find that's one of the most interesting things in terms of if you're looking at monetary policy in response to economic data, they hiked whatever 17 increments of 25 basis points. They cut three times. Now they're talking about hiking. They were talking about cutting. Now they're talking about hiking.

And none of it just seems to have any impact on the economy whatsoever. It's almost like monetary policy doesn't even do anything is what it has felt like. And it's just the Scottish, which is casting spells and watching the rain come. I would like to be able to add anything smart on top of that. But the only thing is that at the end, if you raise interest rates, unless your economy is particularly vulnerable to it, and there are two channels to be vulnerable to that, right? There is mortgages. If you have a bunch of floating mortgages and they're raising rates, then your bill literally towards the bank will go up pretty quickly. And unless you're printing money out of the sky, you will have to reduce your consumer spending to pay more interest rate costs, right? If you look at various economies out there, like Europe and the US, or even the UK to a certain extent, the amount of floating mortgages compared to the total amount of mortgages outstanding, it's very, very low. And I mean less than 10% of the outstanding.

they raise rates and then who cares brand i mean the households are vastly protected by it by the fact that they have 10 year and 30 year fixed mortgages and the other way to go about it is the corporate channel right i mean if corporates also are heavily leveraged and they have a lot of floating loans then they might also have to slow down their well they might have to divert more of their earnings back to paying interest rate costs and therefore hiding less people and slowing down those two channels haven't really worked in the us for example or in europe because The structure of the market is not floating, but ask Canada, you should know something about it. Has it worked in Canada over time in 2022-23 to slow down the economy? Yeah, absolutely. Yes, it has worked. Yeah, housing has been absolutely crushed there. Correct. And so, you know, an interesting takeaway from everything that you just said is I saw, for example, yesterday, Kashkari was saying, and he's one of the dissenters that, you know, I'm not, he said, I'm not talking about a protracted rate hike cycle here. I'm talking about a few a few hikes to get back to, you know, an appropriate level. So no one's actually talking about an aggressive rate hike cycle. So like, should we even care about this? I mean, that's what I feel like is like, whether they hike once or twice, you know, or they were going to cut once, like it's just all meaningless to me. Like what's meaningful are the big cycles, obviously, but this, this fiddling with the lever, going up, up down 25 basis points when inflation is above 3%.

it's not serious like it's they're not serious monetary policy moves they're just like you know we made eight times a year so and we talk 400 times a year so we have to say stuff nominal growth in the US nominal growth in the US brand has been six percent and counting for a while fiscal deficits are seven percent and counting for a while and the nominal cash rate is three and a half who cares if it's three seventy five or four right right exactly We spent so much time talking about this thing that potentially other than on the day of or here and there is very often meaningless. 2022 it wasn't. Obviously that was a completely different situation because that was a real rate hike cycle. But these tweaking of the dial type of moves probably as an investor, it's worth your time to Just skip fast forward through those discussions on this podcast or you know delete those emails Because I think we just spend way too much time talking about the Fed when when they're in this like completely irrelevant mode at the end nominal growth matters a

lot instead right because that is really the driver of earnings and the driver of Eventually big changes in monetary policy up or down. So I would focus more on nominal growth and by the way Unless I'm seeing things completely wrong Brent, I don't see any fiscal juice in the US between July and January. The OBBB was a big fiscal juice, but it exhausted most of its impact in June. And there is no reconciliation bill coming, at least not in decent size. There is something about agriculture and some military spending, but it's completely relevant for the US economy as a whole. So you're going to lose the impulse coming from OBBB between now and Yeah, at least the midterms. And then after the midterms, you have to figure out the Democrats and Republicans most likely have to agree on something bipartisan to push out for Q1 2027. But there is a bit of a gap, I would say in the fiscal impulse in the US between July and December. Yeah, I mean, I think you can make the argument, it's probably a lot more useful to talk about growth prospects than it is to talk about the Fed. You could probably make the argument to that AI capex.

growth has peaked, even if obviously the numbers are still growing, but the pace of the growth has peaked. So there might be something interesting there in 2027. Meanwhile, Atlanta Fed GDP now estimate for Q3 is 5.9%. It'll probably come down, but I mean, yeah, what are we doing here? And the feds talking about whether they should go 25 basis points, four months from now or whatever. Yeah, I like to look at the Core consumer spending part of it because it's much more stable and less volatile But even then I mean that has been holding at about two and a half percent real for consumer spending It's a pretty decent number. So again when I talk about the fiscal drug I'm not expecting a collapse of the US economy But I tend to believe that the Fed will be bailed out by data basically, right? I mean they have basically Warsh has put himself in a corner telling the market how okay she was then he didn't deliver anything So the market tried to punish him. At the end, if data comes in friendly, he will be bailed out by it. And so my expectation as a micro hedge fund manager, I am right only 53% of the times guys. So I can be right, I can be wrong, take it with a pinch of salt. But my expectation is that it's pretty likely the Federal Reserve will do nothing until the end of the year. How exciting. So we, you know, might just end up in a place where it's pretty goldilocks, I think, where if I'm right, there is no inflationary impulse, growth moderates a bit. I can't predict what

happens in our moods, but it looks like on the roller coaster, we're now on the good side of it. So now we're talking, we're reopening, you know, every two months, there is either one side or the other. Now we have a couple of months of good stuff, maybe, maybe. And it all says risk parity. So it sounds like 2027 will be year five of the soft landing.

No. Soft landing, yes. That was possible. And month number 80 or whatever it is, 75 of the Fed above target. Maybe you should just change the target to 3% and call it a day, yeah? I think that's probably better. Will inflation be below 2% in my lifetime? Let's see. Well, okay, guys, I think that was it for today. Or do you have something else to talk about, Brent? No, that's it. We'll end on a dark note. All right. Then we see you guys again. in next week, maybe in two weeks, it's August after all, so cut us some slack. Okay, if there is something interesting will be here. Otherwise, we'll talk to you next time. And thanks for listening and following us always. Thanks, Elf. Thanks, everybody. The content provided on the macro trading floor podcast is for general information purposes only. No information or other content provided in this podcast should be considered as investment advice.

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